sufficient to withstand any sanctions.[175] No one apparently anticipated the impact from a near-simultaneous black swan event involving the collapse in the price of oil.

Russia has also engaged in collective financial statecraft with China, most prominently when the global financial crisis unfolded in 2008 and Fannie Mae and Freddie Mac started to become unglued. At the time, China was the biggest external investor in these two U.S. government–sponsored enterprises, owning $527 billion of asset–backed securities and other long-term debt, while Japan, as the next-largest creditor, held $270 billion. Russia held $75.3 billion in long-term agency debt and $38.5 billion in short-term debt, totaling $113.8 billion as of June 2007.[176] China had also accumulated $1.95 trillion in foreign exchange reserves at the end of 2008, and Chinese SWFs had also invested approximately $70 billion in the U.S. financial sector between April 2007 and January 2008, backing such firms as Morgan Stanley, Merrill Lynch, and the Blackstone Group, but they were facing major losses as the crisis developed.[177]

In August 2008, Moscow reportedly suggested to Beijing that they both dump their holdings in these securities.[178] This overture may have alarmed the Chinese authorities, as both governments, particularly Beijing, faced a predictable security dilemma—they were seeking to bolster their financial security by withdrawing from a vulnerable position, but also did not want to harm themselves by taking steps that could result in their own financial destruction. China and Japan were already losing faith that Washington would take responsibility to guarantee their Fannie and Freddie securities. Thus, after continuing to lend in the first half of 2008, they were unwinding significant portions of their holdings by the summer, while the corporations were unable to raise new capital. The Central Bank of Russia had reduced its holdings of Fannie Mae and Freddie Mac by 50 percent between January and June 2008. In July, the crisis worsened, and as the share prices of the two corporations crashed, credit default swaps rose, foreign credit disappeared, and foreigners sold $42 billion of their holdings.[179]

In recounting the (as-yet-undocumented) Russian proposal to U.S. Treasury Secretary Henry Paulson, Chinese officials made it clear that they were deeply worried that China would incur massive losses on its bonds, so they expected significant help from Washington. Paulson, then visiting Beijing for the 2008 Summer Olympics, later briefed the White House on